

TSMC Fixed Location Decision With ABC Products (2/3nm, 5nm, and 7nm)

Transit Cost + Unit Cost per 1,000 Units (Based Upon ABC Products for TSMC)

| Unit Costs           | A Product(2/3 NM) |            |            |     |            |          |            | B Product(5 NM) |     |            |            |            |          |            | C Product(7 NM) |           |           |           |         |           |  | Associated Costs/Constraint |                               |
|----------------------|-------------------|------------|------------|-----|------------|----------|------------|-----------------|-----|------------|------------|------------|----------|------------|-----------------|-----------|-----------|-----------|---------|-----------|--|-----------------------------|-------------------------------|
| Fab Location/Country | Silicon           | Avg        | Shr        | Sao | Mun        | Tok      |            | Silicon         | Avg | Shr        | Sao        | Mun        | Tok      |            | Silicon         | Avg       | Shr       | Sao       | Mun     | Tok       |  | Fixed Value                 | Constraint (Per 1,000 wafers) |
| Hsinchu              | 20002073.6        | 20002406.4 | 20000793.6 |     | 20001126.4 | 20001920 | 20001126.4 | 16002073.6      |     | 16002406.4 | 16000793.6 | 16001126.4 | 16001920 | 16001126.4 | 9002073.6       | 9002406.4 | 9000793.6 | 9001126.4 | 9001920 | 9001126.4 |  | 12000000000                 | 1200                          |
| Tainan               | 20002073.6        | 20002406.4 | 20000793.6 |     | 20001126.4 | 20001920 | 20001126.4 | 16002073.6      |     | 16002406.4 | 16000793.6 | 16001126.4 | 16001920 | 16001126.4 | 9002073.6       | 9002406.4 | 9000793.6 | 9001126.4 | 9001920 | 9001126.4 |  | 12000000000                 | 3000                          |
| Kaohsiung            | 20002073.6        | 20002406.4 | 20000793.6 |     | 20001126.4 | 20001920 | 20001126.4 | 0               |     | 0          | 0          | 0          | 0        | 0          | 0               | 0         | 0         | 0         | 0       | 0         |  | 45200000000                 | 1440                          |
| Arizona              | 26000793.6        | 26000640   | 26002252.8 |     | 26002073.6 | 26001920 | 26001920   | 20800793.6      |     | 20800640   | 20802252.8 | 20802073.6 | 20801920 | 20801920   | 0               | 0         | 0         | 0         | 0       | 0         |  | 65000000000                 | 720                           |
| Taiichung            | 0                 | 0          | 0          |     | 0          | 0        | 0          | 16002073.6      |     | 16002406.4 | 16000793.6 | 16001126.4 | 16001920 | 16001126.4 | 9002073.6       | 9002406.4 | 9000793.6 | 9001126.4 | 9001920 | 9001126.4 |  | 12000000000                 | 1200                          |
| Japan                | 0                 | 0          | 0          |     | 0          | 0        | 0          | 0               |     | 0          | 0          | 0          | 0        | 0          | 0               | 0         | 0         | 0         | 0       | 0         |  | 26000000000                 | 360                           |
| TOTAL Demand         | 425               | 425        | 1275       |     | 1487.5     | 425      | 212.5      | 612             |     | 612        | 1836       | 2142       | 612      | 306        | 221             | 221       | 663       | 773.5     | 221     | 110.5     |  |                             |                               |

Cost Per Unit 1,000 (Based Upon ABC Products for TSMC)

| Decision Point | A Product(2/3 NM) |     |     |     |     |     | B Product(5 NM) |     |      |        |     | C Product(7 NM) |         |     |     |       | Location Variable |       | SUM Units Used per (1,000) |      |
|----------------|-------------------|-----|-----|-----|-----|-----|-----------------|-----|------|--------|-----|-----------------|---------|-----|-----|-------|-------------------|-------|----------------------------|------|
|                | Silicon           | Aus | Shr | Sao | Mun | Tok | Silicon         | Aus | Shr  | Sao    | Mun | Tok             | Silicon | Aus | Shr | Sao   | Mun               | Tok   | 1 or 0                     |      |
| Hsinchu        | 0                 | 0   | 0   | 0   | 0   | 0   | 0               | 0   | 1200 | 0      | 0   | 0               | 0       | 0   | 0   | 0     | 0                 | 0     | 1                          | 1200 |
| Tainan         | 0                 | 0   | 0   | 0   | 0   | 0   | 0               | 0   | 636  | 264.5  | 0   | 0               | 221     | 221 | 663 | 773.5 | 221               | 0     | 1                          | 3000 |
| Kaohsiung      | 0                 | 0   | 0   | 0   | 0   | 0   | 0               | 0   | 0    | 0      | 0   | 0               | 0       | 0   | 0   | 0     | 0                 | 0     | 0                          | 0    |
| Arizona        | 0                 | 0   | 0   | 0   | 0   | 0   | 0               | 0   | 0    | 0      | 0   | 0               | 0       | 0   | 0   | 0     | 0                 | 0     | 0                          | 0    |
| Taiichung      | 0                 | 0   | 0   | 0   | 0   | 0   | 0               | 0   | 0    | 1089.5 | 0   | 0               | 0       | 0   | 0   | 0     | 0                 | 110.5 | 1                          | 1200 |
| Japan          | 0                 | 0   | 0   | 0   | 0   | 0   | 0               | 0   | 0    | 0      | 0   | 0               | 0       | 0   | 0   | 0     | 0                 | 0     | 0                          | 0    |

Excess/Constraints Per Unit 1,000 (Based Upon ABC Products for TSMC)

| Constraints   | A Product(2/3 NM) |     |      |        |     |       | B Product(5 NM) |     |     |     |     | C Product(7 NM) |         |     |     |     |     |     |   |   |
|---------------|-------------------|-----|------|--------|-----|-------|-----------------|-----|-----|-----|-----|-----------------|---------|-----|-----|-----|-----|-----|---|---|
|               | Silicon           | Aus | Shr  | Sao    | Mun | Tok   | Silicon         | Aus | Shr | Sao | Mun | Tok             | Silicon | Aus | Shr | Sao | Mun | Tok |   |   |
| Hsinchu       | 0                 |     |      |        |     |       |                 |     |     |     |     |                 |         |     |     |     |     |     |   |   |
| Tainan        | 0                 |     |      |        |     |       |                 |     |     |     |     |                 |         |     |     |     |     |     |   |   |
| Kaohsiung     | 0                 |     |      |        |     |       |                 |     |     |     |     |                 |         |     |     |     |     |     |   |   |
| Arizona       | 0                 |     |      |        |     |       |                 |     |     |     |     |                 |         |     |     |     |     |     |   |   |
| Taiichung     | 0                 |     |      |        |     |       |                 |     |     |     |     |                 |         |     |     |     |     |     |   |   |
| Japan         | 0                 |     |      |        |     |       |                 |     |     |     |     |                 |         |     |     |     |     |     |   |   |
| Excess Demand | 425               | 425 | 1275 | 1487.5 | 425 | 212.5 | 612             | 612 | 0   | 788 | 612 | 306             | 0       | 0   | 0   | 0   | 0   | 0   | 0 | 0 |

Kaohsiung

All Models Weight Roughly the same

E.Q.= 125KG\* 100000

1 Batch assumed Per 1,000 Wafer

Not all Demand meant Due to Capacity

ABC Products Make up or 74% of Revenue

Means not able to be made at Site

Products 2/3nm, 5 nm, and 7nm

\$ 30,000,000.00 Penalty Cost for Unmet Demand

Results ( In Units Per 1,000 wafers)

| Total Fixed Costs    | Total Variable Cost  | Penalty Cost          | Costs All together    |
|----------------------|----------------------|-----------------------|-----------------------|
| \$ 36,000,000,000.00 | \$ 70,935,918,489.60 | \$ 215,400,000,000.00 | \$ 322,335,918,489.60 |

| Demand | Opened Capacity | Total Available Capacity | Unmet Demand |
|--------|-----------------|--------------------------|--------------|
| 12580  | 5400            | 7920                     | 7180         |